STRATEGIC MATERIALS POLICY TRACKER

FI003 JPMorgan and MP Materials, draft 0.7

JPMorgan and MP Materials

Financing through 10X construction

Benjamin Yang · Research draft 0.7 · 8 November 2026

Draft for review. Publication hold remains in place.

DRAFT · REVIEW GATES PENDING

JPMorgan held different roles in each financing instrument

Roles named in the reviewed filings and in J.P. Morgan's own account; blank means not named in those sources

Organisation	Adviser	Joint commitment	Underwriting	Revolver agent
JPMorgan	● Own account	● Joint	● Joint largest	● Agent, lender
Goldman Sachs		● Joint	● Joint largest	
Morgan Stanley			● Smaller share	
Organisations in role	**1**	**2**	**3**	**1**

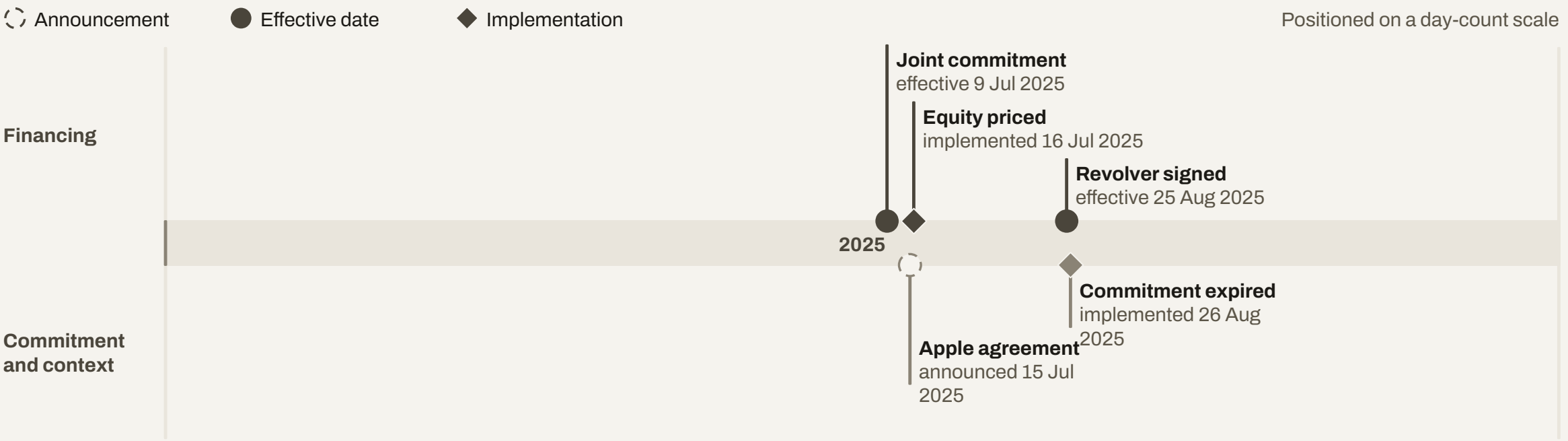
● Holds the role in the source set; text beside the mark qualifies it. No amounts are shown.

INTERPRETATION The adviser role rests on J.P. Morgan's own account. Underwriting shares are initial obligations only. JPMorgan's fees, retention and internal credit decisions are not disclosed.

Source: S01; S07; S08; S15. Company filings; J.P. Morgan's own account for the adviser role

A replaceable commitment was followed within seven weeks by equity and a revolver

Financing events and the government context around them, July to August 2025

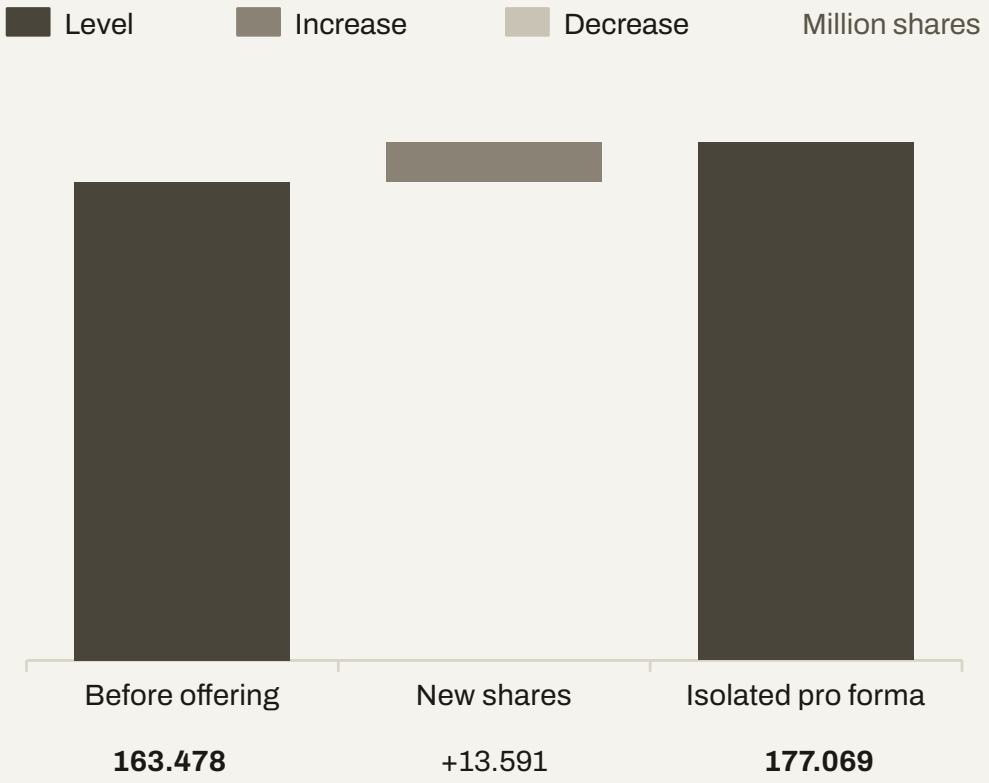


INTERPRETATION Government agreements (9 July) and Apple's 15 July agreement preceded the 16 July pricing; their isolated effect on equity demand is not established.

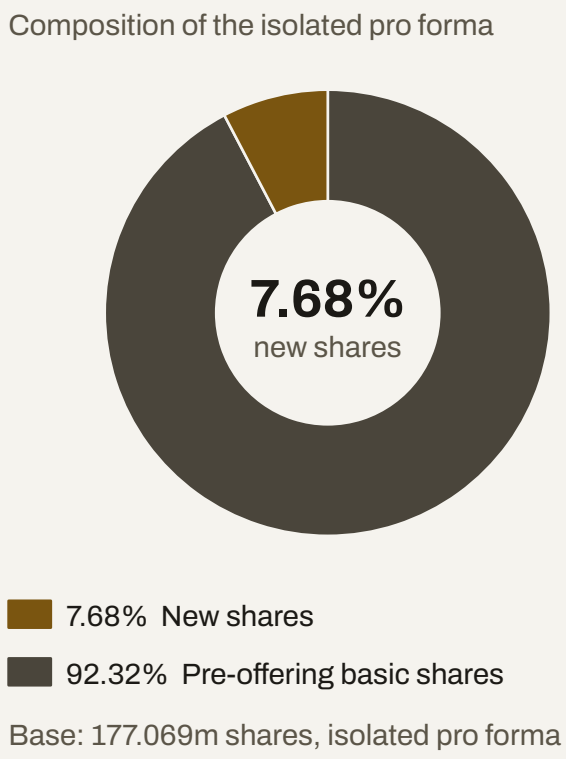
Source: S01; S06; S08; S17. SEC filings, July to August 2025

New shares added 8.31% to the basic count and are 7.68% of the isolated base

Bridge from basic shares before the July 2025 offering to the isolated pro forma, then the composition of that pro forma



Composition of the isolated pro forma



Base: 177.069m shares, isolated pro forma

INTERPRETATION

8.31% is measured against the pre-offering basic count; 7.68% against the isolated post-offering base. Not a fully diluted figure: later issuance and potential shares are excluded.

Source: S06; S11. Prospectus supplement; 2025 10-K

Net equity of $724.2m replaced a $1bn reference without becoming a like-for-like swap

USD million; cash proceeds and committed capacity shown together, not summed

#	Item	USD million
1	**Gross equity (calculated)**	747.5
2	**Underwriting discount**	22.4
3	**Net equity (reported)**	724.2
4	**Revolver capacity**	275.0
5	**Original commitment min.**	1,000.0

USD million

READING THE TABLE

3 Reported equity issuance net of costs; no scheduled principal repayment.

4 Committed capacity, not proceeds; drawn loans are zero in every reported snapshot.

5 Reference minimum for a commitment that expired undrawn; it was never funded.

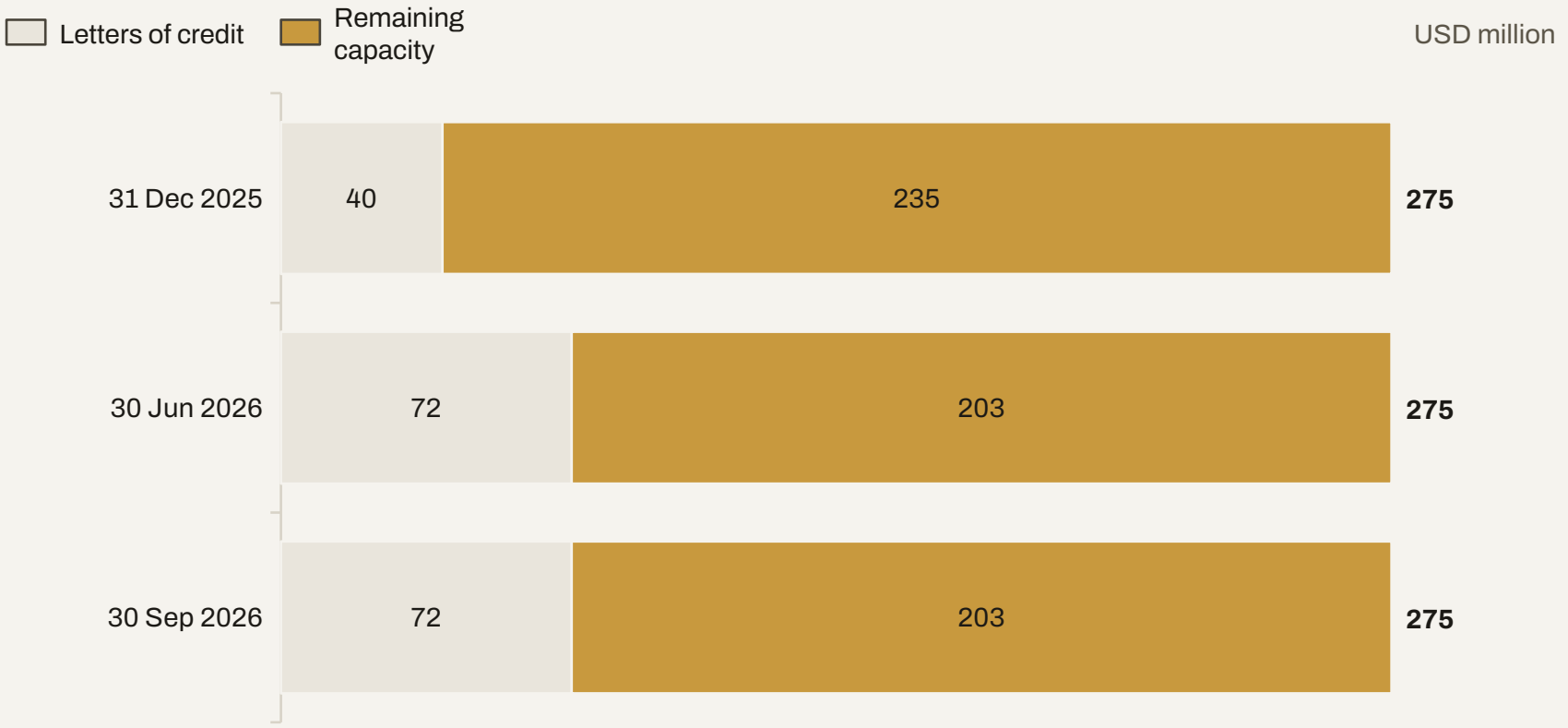
INTERPRETATION

The comparison mixes cash and capacity; it is arithmetic only.

Source: S01; S07; S08; S11. Underwriting agreement; 2025 10-K

Letters of credit leave $203m of the $275m revolver available

USD million at three reported dates; no loan draws in any snapshot



INTERPRETATION

The letter-of-credit sublimit is not additive to loans, and no future availability is assumed.

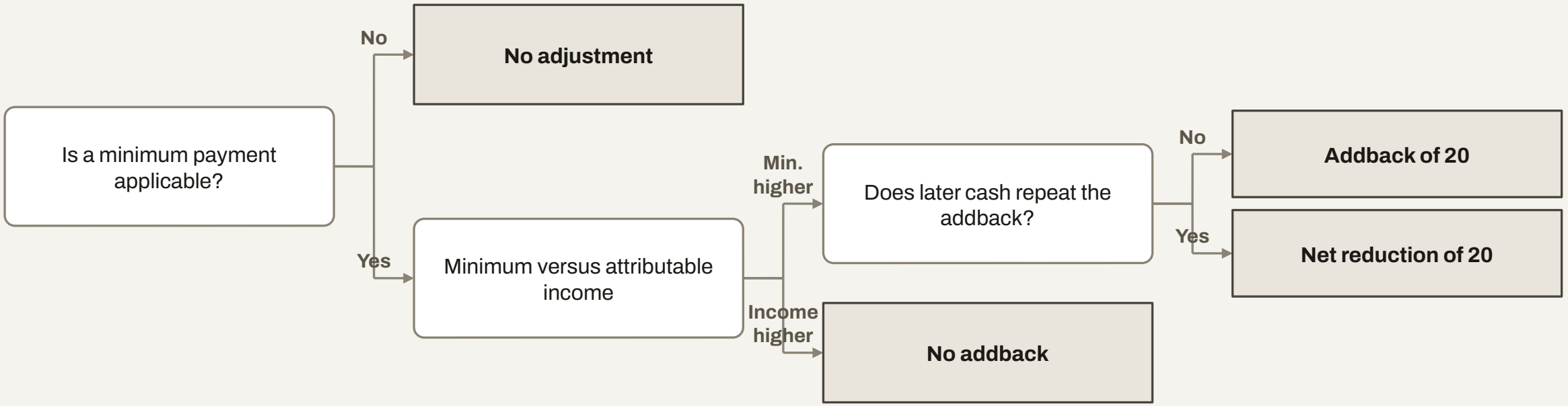
Source: S11; S13; S19. 2025 10-K; Q2 and Q3 2026 10-Qs

A minimum-payment addback in covenant earnings can reverse when cash arrives

Illustrative clause arithmetic with hypothetical inputs, not reported MP results

Route to the example outcome

Rounded boxes: conditions · square boxes: outcomes



INTERPRETATION Hypothetical figures of 40 and 20 show the direction only. Covenant EBITDA is a different measure from Adjusted EBITDA.

Source: S09. Credit agreement, definition of Consolidated EBITDA

Covenant tests could begin before 10X commissioning is expected in 2028

Reported events and illustrative test dates; dates marked targeted are model assumptions



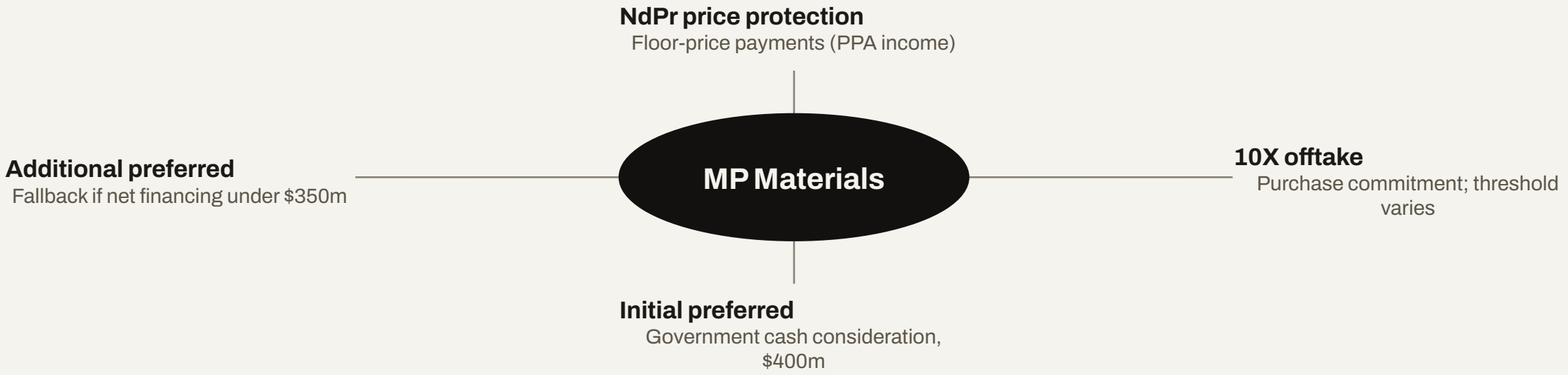
INTERPRETATION Management expects commissioning to begin in 2028 without a stated date, so no marker is drawn. Covenant headroom is not disclosed.

Source: S01; S06; S08; S19; S09. Company filings; credit agreement; model timing

Government support covers specified exposures while MP keeps its funding duties

Government instruments linked to MP Materials; equal spokes carry no magnitude

Each spoke is a declared government link to MP; line length and position carry no value.



INTERPRETATION The fallback preferred applies only if net financing falls short of $350m; the July equity exceeded that threshold.

Source: S02; S03; S04; S05. Transaction agreement; offtake and price protection agreements

The 10X threshold falls with capacity only until the production milestone

Hypothetical 2029 full-year threshold, USD million, by assumed capacity fraction

#	Item	Before milestone	From milestone
1	**25% of capacity**	37.9	151.5
2	**50% of capacity**	75.8	151.5
3	**100% of capacity**	151.5	151.5

USD million

READING THE TABLE

1. Before the milestone the threshold scales with assumed capacity.

3. At full capacity the two states give the same threshold.

INTERPRETATION

Capacity fractions are analyst assumptions. The threshold is not cash flow available for debt service.

Source: S03. Offtake agreement; model assumptions

Price protection income and cash received are different measures

USD million; income recognized and cash received are separate accounting facts

#	Item	USD million
1	**2025 income**	51.0
2	**9m 2026 income**	68.0
3	**Cumulative income**	119.0
4	**9m 2026 cash received**	110.9
5	**Closing receivable**	8.1

USD million

READING THE TABLE

3 Income is recognized when earned, not when paid.

4 Cash received in nine months can include income earned earlier.

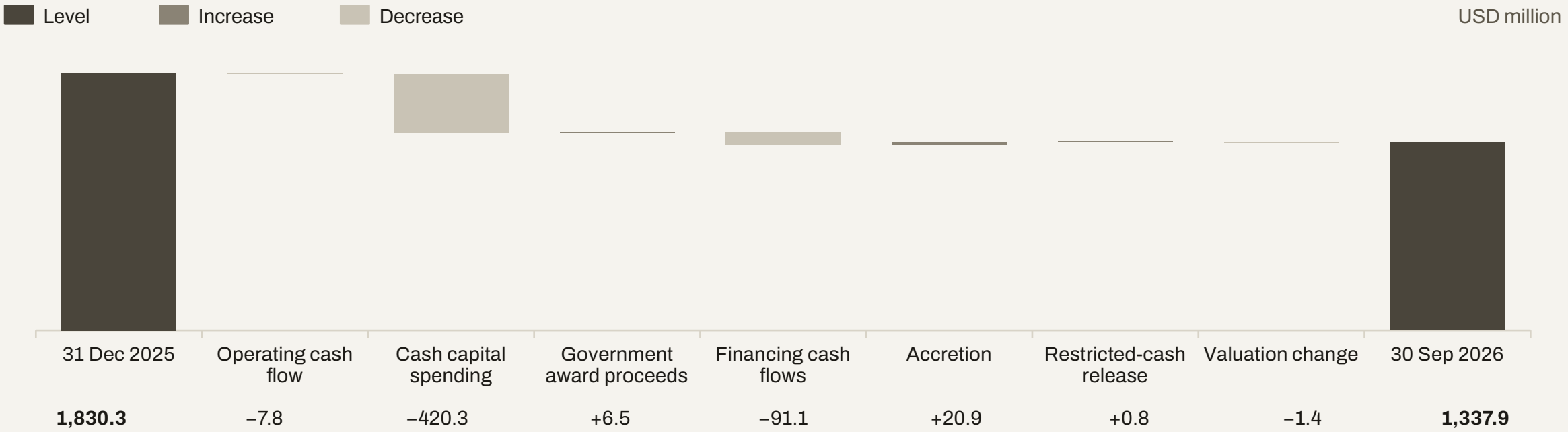
INTERPRETATION

The $110.9m of cash is already inside reported operating cash flow and is not additional liquidity.

Source: S11; S19. 2025 10-K; Q3 2026 10-Q

Company liquid assets fell $492.4m as expansion continued

USD million, 31 December 2025 to 30 September 2026



INTERPRETATION Capital spending covers all company projects, not 10X alone. The bridge is reported, not forecast.

Source: S19. Q3 2026 10-Q

Recommended considerations for comparable industrial sponsors and lenders

Illustrative analytical considerations drawn from the FI003 record; not decisions by MP Materials or JPMorgan

Consideration	Sponsors	Lenders
Flexibility versus dilution and funding certainty	● Price dilution	● Expiry, fees
Conditional capital versus remaining build needs	● Draw conditions	● Unfunded scope
Liquidity and credit usage apart from headlines	● Cash runway	● LC usage
Covenant test dates and reversal mechanics	● Test timing	● Addback reversal
Government support kept apart from causal claims	● Support terms	● No causal credit

● Mark: the consideration applies to that party; text names what to watch. Analytical judgment, not sourced decisions.

INTERPRETATION Forward-looking analysis only. A reliable remaining construction funding gap cannot be forecast from the public record.

Source: S02; S09; S19. FI003 analysis of the reviewed record; illustrative